

# PRIVATE PROTOCOL

AS THE GOVERNMENT LOOKS TO STREAMLINE PRIVATE EQUITY AND VENTURE CAPITAL INVESTMENTS, THE COUNTRY'S PRIVATE CAPITAL ECOSYSTEM IS HOPING FOR RESOLUTIONS TO SOME LONG-STANDING PAIN POINTS

BY BINU PAUL

**O** N FEBRUARY 1, 2022, Finance Minister Nirmala Sitharaman addressed a long-pending demand of the venture capital (VC) and private equity (PE) community by announcing

that the government will set up a panel of experts to examine the issues concerning the investor ecosystem. Seven months later, a high-level panel headed by former Sebi chairman M. Damodaran was formed, and tasked with suggesting steps to scale up PE and VC investments in the country.

It's still early days for India's PE/VC industry. Per an Indian Venture and Alternate Capital Association (IVCA)-EY report, the industry made investments worth \$77 billion across 1,266 deals in 2021. In the first half of 2022, PE and VC firms recorded investments worth \$34 billion across 714 deals. More than 80 per cent of the private capital invested in India comes from foreign investors—there is no other significant source of risk capital available for the country's growth enterprises. Foreign investors con-

tinue to invest, in the belief that India will outperform other markets.

Yet, investors and funds are grappling with ambiguity related to taxation of carried interest, treatment of long-term capital gains (LTCG), restrictive foreign pricing rules and co-investment framework, use of convertible instruments, absence of hedging and leveraging options, downside protections, and lack of a single-window system to address the issues of the industry.

PE/VC investors are of the view that the country's regulations have

not kept up with the complexities of this industry. "We make regulations unnecessarily complex, which is why 80 per cent of the capital still looks like FDI. Reforms should be [about] streamlining [processes], easing unnecessary steps and levelling the playing fields with overseas VCs," says Karthik Reddy, Chairperson of industry body IVCA, and Co-founder and Managing Partner of Blume Ventures.

One of the primary asks from investors is to find a solution to the taxation of 'carried interest' or 'carry', that is taxed under income tax as well as GST. Carry, in VC parlance, is the share of profit general partners of a VC fund receive in compensation for the management of a fund. Bhavin Shah, Deals Leader at PwC India, suggests that the committee should consider making the "pass-through" provisions of the Income Tax Act applicable to funds to determine that carried interest retains the same character as the underlying income of the fund, similar to the practices followed by countries like the US and the UK. "Globally, 'carried interest' is taxed as capital gains (profit share) and not as income from services. Think of the manager as an active partner of a partnership firm and investors



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